

## Amir Ahmad v. State of U.P. & 4 Others

Allahabad High Court · Division Bench · 16 September 2025 · 2025:AHC:164765-DB · WRIT - C No. 31054 of 2025 · **Writ petition disposed of (auction-purchaser must clear dues under Clause 4.3(f))**

### HEADNOTE

An auction-purchaser of premises sold on an 'as-is-where-is' basis under the SARFAESI Act is bound by Clause 4.3(f)(i) and (viii) of the U.P. Electricity Supply Code, 2005 to ascertain and clear outstanding electricity dues on the premises before a new connection is released; a recital in the sale certificate that the property is free from encumbrances, or that the vendor did not consume electricity, does not displace the statutory charge. Following *K.C. Ninan v. Kerala State Electricity Board*, a utility may, by subordinate legislation or supply code, create a charge for arrears recoverable from a subsequent transferee — the principle of 'buyer beware' applying to the auction-purchaser.

### HOLDING-UNITS

#### HOLDING-UNIT · UP-2005::4.3(f)

Liability of an auction-purchaser for arrears attaching to the premises

#### QUESTION

Is an auction-purchaser under SARFAESI, holding a sale certificate declaring the property free from encumbrances, liable to clear the previous owner's electricity arrears before obtaining a new connection?

#### HOLDING

Yes. Clause 4.3(f)(i) & (viii) place the duty to ascertain and clear outstanding dues on both seller and purchaser and permit the application to be processed only on clearance. The auction-purchaser, buying 'as-is-where-is', is fixed with 'buyer beware' and cannot escape the statutory charge by relying on the encumbrance-free recital or the vendor's non-consumption. ¶ 3, 6-7

#### LIMITING FACTS

SARFAESI sale certificate dated 24.4.2024 recited the property free from all encumbrances; the supply company refused a connection for arrear dues attached to the premises.

### PRINCIPLE TAGS

**arrears-run-with-the-premises** Electricity arrears create a statutory charge on the premises recoverable from a subsequent transferee, including an auction-purchaser on an 'as-is-where-is' basis. Lead authorities: *K.C. Ninan v. Kerala State Electricity Board* [160269658]. ¶ 4, 6-7

### NOT DECIDED — NEGATIVE AUTHORITY

#### NOT DECIDED — QUANTUM / CORRECTNESS OF THE ARREARS

The Court did not adjudicate the amount or validity of the dues; the petitioner must comply with the Clause 4.3 process to obtain the connection. ¶ 7-8

### TABLE OF AUTHORITIES

| AUTHORITY                                                                                          | PROPOSITION                                                                                                                                                                                                                                           | HOW TREATED                                                                                                            | CITED BY          | TREATMENT       |
|----------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|-------------------|-----------------|
| <i>K.C. Ninan v. Kerala State Electricity Board</i> (2023) 14 SCC 431 [160269658]<br>Supreme Court | Electricity utilities can, by subordinate legislation or statutory conditions of supply, create a charge enabling recovery of electricity arrears from a subsequent transferee; recoupment of arrears protects the public good of electricity supply. | Followed and applied to hold the auction-purchaser liable to clear arrears before a new connection is released. ¶ 4, 6 | <b>Respondent</b> | <b>Followed</b> |

*A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.*